

# Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

September 2013

**Latitude 45**

**2013-09-20**



*Innovative Business Support & Promotion*



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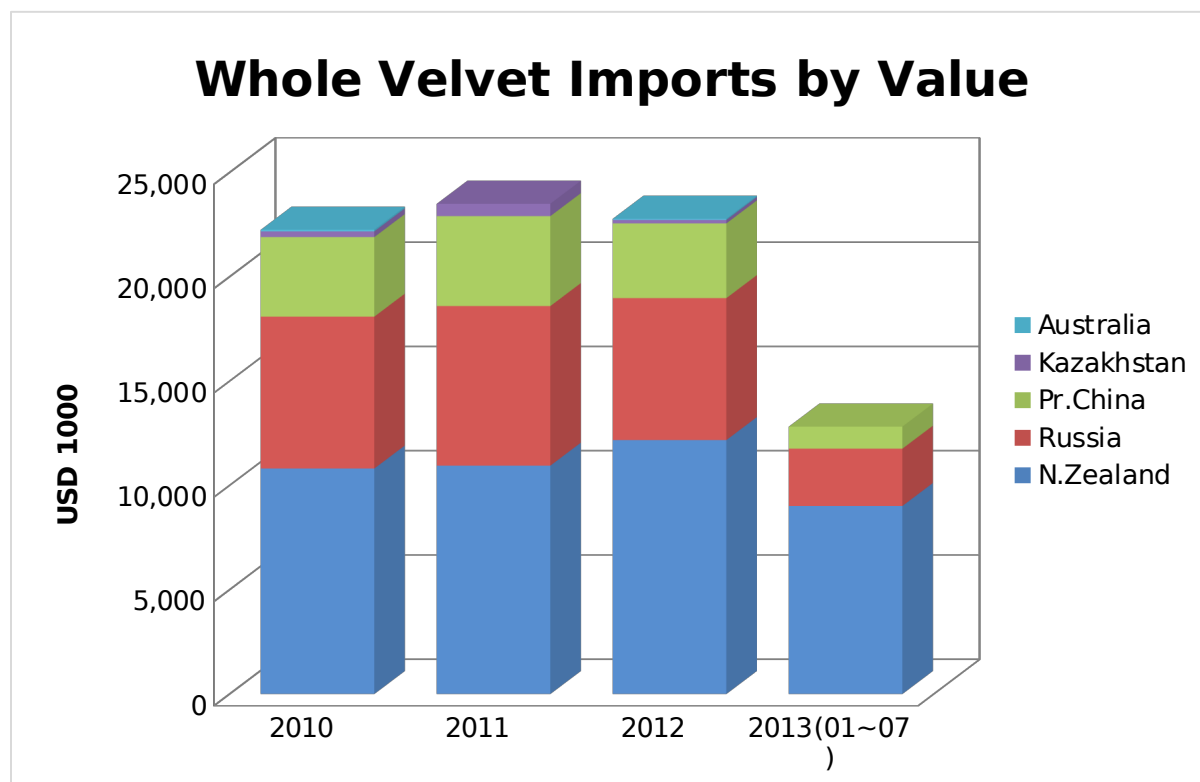
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## 2 Imports

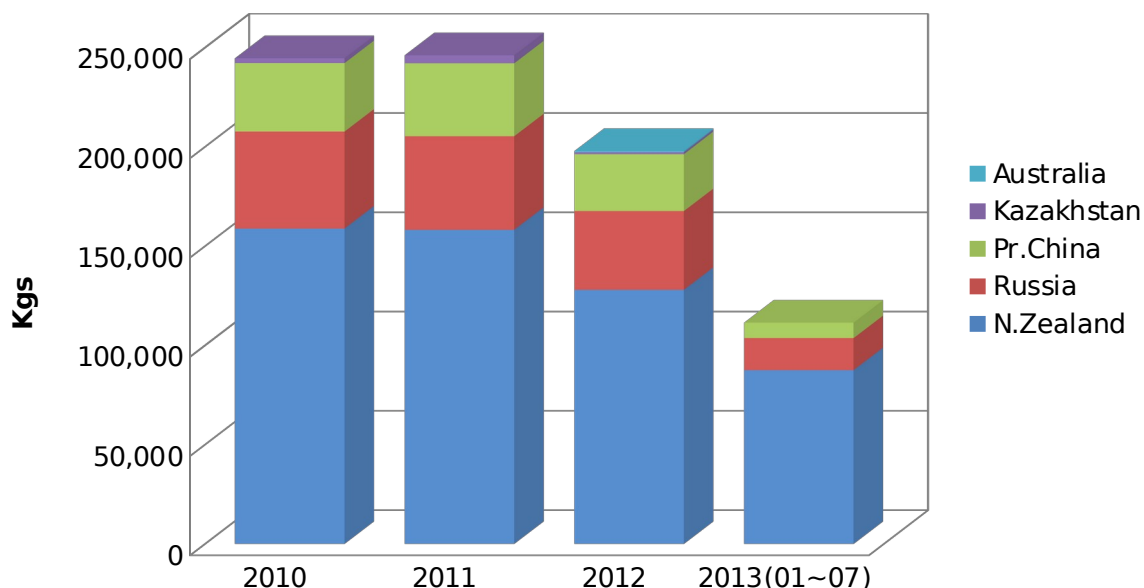
### 2.1 Velvet Imports

#### 2.1.1 Young Antlers, Whole HS No. 0507.90.1110

| Rank | Country             | 2010          |                |       | 2011          |                |       | 2012          |                |       | 2013(01~07)   |                |       |
|------|---------------------|---------------|----------------|-------|---------------|----------------|-------|---------------|----------------|-------|---------------|----------------|-------|
|      |                     | Value         | Weight         | \$/kg | Value         | Weight         | \$/kg | Value         | Weight         | \$/kg | Value         | Weight         | \$/kg |
|      | <b>Total Sum</b>    | <b>22,247</b> | <b>246,623</b> |       | <b>23,497</b> | <b>246,188</b> |       | <b>22,779</b> | <b>197,907</b> |       | <b>12,817</b> | <b>111,454</b> |       |
| 1    | N.Zealand           | 10,813        | 158,875        | 68    | 10,946        | 158,276        | 69    | 12,176        | 128,048        | 95    | 9,012         | 87,549         | 103   |
| 2    | Russia              | 7,281         | 48,841         | 149   | 7,647         | 47,142         | 162   | 6,801         | 39,615         | 172   | 2,748         | 16,170         | 170   |
| 3    | Pr.China            | 3,811         | 34,514         | 110   | 4,314         | 36,742         | 117   | 3,584         | 28,731         | 125   | 1,056         | 7,734          | 137   |
| 4    | Kazakhstan          | 272           | 2,393          | 114   | 591           | 4,028          | 147   | 165           | 1,063          | 155   | -             | -              | -     |
| 5    | Australia           | 70            | 2,00           | -     | -             | -              | -     | 54            | 450            | 120   | -             | 1              | -     |
|      | <b>NZ Share (%)</b> | <b>48.60</b>  | <b>64.42</b>   |       | <b>46.58</b>  | <b>64.29</b>   |       | <b>53.45</b>  | <b>64.70</b>   |       | <b>70.31</b>  | <b>78.55</b>   |       |



## Whole Velvet Imports by Volume



### 2.1.2 Young Antlers, Other HS No. 0507.90.1190

| Rank | Country      | 2010  |        |       | 2011  |        |       | 2012  |        |       | 2013(01~07) |        |       |
|------|--------------|-------|--------|-------|-------|--------|-------|-------|--------|-------|-------------|--------|-------|
|      |              | Value | Weight | \$/kg | Value | Weight | \$/kg | Value | Weight | \$/kg | Value       | Weight | \$/kg |
|      | Total Sum    | 100   | 33     |       | 88    | 80     |       | 81    | 77     |       | 46          | 35     |       |
| 1    | N.Zealand    | 58    | 8      | 7,250 | 47    | 36     | 1,306 | 52    | 49     | 1,061 | 34          | 19     | 1,789 |
| 2    | Australia    | 42    | 25     | 1,680 | 40    | 42     | 952   | 29    | 28     | 1,036 | 13          | 16     | 813   |
| 3    | U.S.A        | 0     | -      | -     | 0     | 1      | 0     | 0     | -      | -     | -           | -      | -     |
| 4    | Pr.China     | -     | -      | -     | 0     | 1      | 0     | -     | -      | -     | -           | -      | -     |
|      | NZ Share (%) | 58.00 | 24.24  |       | 53.41 | 45.00  |       | 64.20 | 63.64  |       | 73.91       | 54.29  |       |

### 2.1.3 Hard Antler Imports HS No. 0507.90.1200

| Rank | Country     | 2010  |         |       | 2011  |         |       | 2012  |         |       | 2013(01~07) |        |       |
|------|-------------|-------|---------|-------|-------|---------|-------|-------|---------|-------|-------------|--------|-------|
|      |             | Value | Weight  | \$/kg | Value | Weight  | \$/kg | Value | Weight  | \$/kg | Value       | Weight | \$/kg |
|      | Total Sum   | 2,219 | 202,444 |       | 2,511 | 224,058 |       | 2,282 | 189,566 |       | 834         | 68,741 |       |
| 1    | Russia      | 2,000 | 183,000 | 11    | 2,508 | 224,035 | 11    | 2,229 | 185,298 | 12    | 784         | 64,733 | 12    |
| 2    | N.Zealand   | 34    | 3,420   | 10    | 0     | 3       | 0     | 51    | 4,251   | 12    | 49          | 4,000  | 12    |
| 3    | Australia   | 63    | 6,024   | 10    | 2     | 20      | 100   | 2     | 17      | 118   | 2           | 8      | 250   |
| 4    | Mongolia    | 62    | 5,000   | 12    | -     | -       | -     | -     | -       | -     | -           | -      | -     |
| 5    | Argentina   | 60    | 5,000   | 12    | -     | -       | -     | -     | -       | -     | -           | -      | -     |
|      | NZ Share(%) | 1.53  | 1.69    |       | 0     | 0       |       | 2.23  | 2.24    |       | 5.88        | 5.82   |       |

## 2.2 Quarantine Statistics of Deer Velvet from Major Exporters

### 2.2.1 Year to date

#### 2.2.1.1 Velvet

These include hand-carried velvet by tourists. The countries are not country of origin but export.

| COUNTRY              | AUG 11 - JUL 12   |                 | AUG 12 - JUL 13   |                 |
|----------------------|-------------------|-----------------|-------------------|-----------------|
|                      | DRIED VELVET (KG) | RAW VELVET (KG) | DRIED VELVET (KG) | RAW VELVET (KG) |
| <b>New Zealand</b>   | <b>27,671.0</b>   | <b>78,568.6</b> | <b>21,455.0</b>   | <b>71,009.6</b> |
| China                | 69,446.9          | 7.7             | 60,539.4          | 9.8             |
| Russia               | 36,045.1          | -               | 36,705.4          | 1.3             |
| Hong Kong            | 10,860.1          | -               | 9,413.4           | -               |
| Kazakhstan           | 2,337.8           | -               | 1,063.0           | -               |
| Australia            | 100.5             | -               | 69.2              | 2.3             |
| Canada               | 7.3               | -               | 5.5               | -               |
| USA.                 | 32.5              | -               | 23.3              | 0.1             |
| Singapore            | -                 | -               | 0.7               | -               |
| Taiwan               | 3.3               | -               | 11.1              | -               |
| Others               | 1.2               | 5.4             | 0.4               | 1.5             |
| <b>Total</b>         | <b>146,505.6</b>  | <b>78,581.7</b> | <b>129,286.4</b>  | <b>71,024.5</b> |
| <b>Overall Total</b> | <b>225,087.3</b>  |                 | <b>200,310.9</b>  |                 |

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

#### 2.2.1.2 Hard Antler

| COUNTRY            | AUG 11 - JUL 12  | AUG 12 - JUL 13  |
|--------------------|------------------|------------------|
| <b>New Zealand</b> | -                | <b>8,257.9</b>   |
| Hong Kong          | 187,346.0        | 122,910.0        |
| Russia             | 8,022.9          | 17,530.0         |
| China              | 3,500.2          | 1                |
| Japan              | 2.1              | 0.4              |
| Australia          | 0.5              | 6.0              |
| Others             | -                | 0.5              |
| <b>Total</b>       | <b>198,871.7</b> | <b>148,705.7</b> |

### 2.2.2 Full Year

These include hand-carried velvet by tourists. The countries are not country of origin but export.

| COUNTRY              | JAN 11 - DEC 11   |                 | JAN 12 - DEC 12   |                 |
|----------------------|-------------------|-----------------|-------------------|-----------------|
|                      | DRIED VELVET (KG) | RAW VELVET (KG) | DRIED VELVET (KG) | RAW VELVET (KG) |
| <b>New Zealand</b>   | <b>27,476.4</b>   | <b>99,841.5</b> | <b>20,612.5</b>   | <b>66,275.1</b> |
| China                | 64,045.7          | 14.1            | 65,789.8          | 10.3            |
| Russia               | 35,181.6          | -               | 35,922.7          | -               |
| Hong Kong            | 9,560.1           | -               | 9,136.6           | -               |
| Kazakhstan           | 4,029.3           | -               | 1,063.0           | -               |
| Australia            | 101.2             | -               | 93.4              | -               |
| USA.                 | 32.9              | 5.5             | 31.6              | -               |
| Singapore            | 1,025.4           | -               | 0.7               | -               |
| Others               | 9.7               | 6.3             | 19.6              | 0.8             |
| <b>Total</b>         | <b>141,462.3</b>  | <b>99,867.4</b> | <b>132,669.9</b>  | <b>66,286.2</b> |
| <b>Overall Total</b> | <b>241,329.7</b>  |                 | <b>198,956.1</b>  |                 |

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

### 2.2.3 Quarantine Fail - Year to Date

The following statistics from the NVRQS give an indication of product that has been rejected on import. While 'banned origin' shows only a small volume it is likely that the 'No COQ' would also reflect product that did not have the appropriate documents from the country of export.

COQ = Certificate of Quarantine (Phytosanitary Certification)

| COUNTRY     | AUG 11 - JUL 12                     |                                    | AUG 12 - JUL 13                                             |                      |
|-------------|-------------------------------------|------------------------------------|-------------------------------------------------------------|----------------------|
|             | DRIED VELVET (KG)                   | RAW VELVET (KG)                    | DRIED VELVET (KG)                                           | RAW VELVET (KG)      |
| China       | No COQ<br>0.2 Banned origin<br>4.4  | No COQ<br>1.8 Banned origin<br>5.9 | No COQ<br>1,470.0 Drying defect<br>0.5 Banned origin<br>2.2 | Banned origin<br>9.8 |
| USA.        | No COQ<br>0.2 Banned origin<br>32.2 | -                                  | No COQ<br>1.27 Banned origin<br>21.0                        | Banned origin<br>0.1 |
| Canada      | Banned origin<br>7.3                | -                                  | Banned origin<br>5.5                                        | -                    |
| Russia      | -                                   | -                                  | -                                                           | Banned origin<br>1.3 |
| Japan       | Banned origin<br>1.1                | Drying defect<br>0.8               | Banned origin<br>0.4                                        | Banned origin<br>1.5 |
| Brazil      | -                                   | Banned origin<br>3.6               | -                                                           | -                    |
| Taiwan      | Banned origin<br>3.3                | -                                  | -                                                           | -                    |
| New Zealand | -                                   | -                                  | No COQ                                                      | -                    |

|                      |             |             |                |            |
|----------------------|-------------|-------------|----------------|------------|
|                      |             |             | 0.4            |            |
| Others               | 0.1         | 1.0         | -              | -          |
| <b>Total</b>         | <b>48.9</b> | <b>13.1</b> | <b>1,501.2</b> | <b>6.7</b> |
| <b>Overall Total</b> | <b>62.0</b> |             | <b>1,508.6</b> |            |

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

### 3 Retail Prices of Deer Velvet to Individual Consumers

There has been no change in pricing since the previous report in June.

#### 3.1 Retail Prices of Dried Deer Velvet to Individual Consumers (Online shopping)

(As of 2013-08)

Packaging: 2 nyang (75g) retail pack

|                       | <b>New Zealand</b> | <b>Russia</b>   | <b>Korea</b> |
|-----------------------|--------------------|-----------------|--------------|
| Bungol (tip)          | KRW 107-108,000    | KRW 142-150,000 | KRW 180,000  |
| Sangdae (upper part)  | KRW 80-90,000      | KRW 107-108,000 | KRW 130,000  |
| Jungdae (middle part) | KRW 62-63,000      | KRW 85,000      | KRW 110,000  |





1

Source: A number of different Korean online shopping malls and Deer Velvet Specialists

### 3.2 Fresh Deer Velvet (Local, online shopping)

(As of 2013-08)

Packaging: 5 nyang (200g) retail pack

|                       |                 |
|-----------------------|-----------------|
| Bungol (tip)          | KRW 160-200,000 |
| Sangdae (upper part)  | KRW 130-140,000 |
| Jungdae (middle part) | KRW 95-110,000  |
| Hadae (lower part)    | KRW 70-100,000  |



2

Source: A number of different Korean online shopping malls and Deer Velvet Specialists

<sup>1</sup> [http://herbseoul.com/front/php/product.php?product\\_no=1584&main\\_cate\\_no=&display\\_group=&cafe\\_mkt=naver\\_cc&NVKWD=%EB%85%B9%EC%9A%A9&NVADKWD=%EB%85%B9%EC%9A%A9&NVAR=PL&NVADID=31311460+0DO1003phK9drNC90042](http://herbseoul.com/front/php/product.php?product_no=1584&main_cate_no=&display_group=&cafe_mkt=naver_cc&NVKWD=%EB%85%B9%EC%9A%A9&NVADKWD=%EB%85%B9%EC%9A%A9&NVAR=PL&NVADID=31311460+0DO1003phK9drNC90042)

<sup>2</sup>

[http://sasum9.com/index.php?pgurl=shop/sh\\_goods\\_view&salegdno=205&gtype=1&ctpo se=AAC](http://sasum9.com/index.php?pgurl=shop/sh_goods_view&salegdno=205&gtype=1&ctpo se=AAC)

## **4 Local Deer Industry**

### **4.1 Roughly USD 50 Million Illegal Velvet Distribution, Head of a Deer Related Council taken into Custody.**

On June 26<sup>th</sup>, Gangwon Chuncheon Police Station took the head of a national deer related council (Mr A) into custody, and charged 14 others on suspicion of illegally distributing around USD 50 million worth of deer velvet. Mr A set up a deer farm and health care centre in the Pyeongchang area, and from January 2009 to April 2013 is under suspicion of using his position as head of the council to purchase tonnes of fresh velvet from 191 deer farms nationwide, mix this with fresh velvet from his own farm, and sell fresh velvet fresh velvet and velvet drinks online. Mr A fooled consumers by claiming that these products were made with fresh velvet from the largest deer farm in Korea, where deer were fed only mulberry leaves. He is also accused of exaggerated advertising, targeting the elderly and claiming, for example, that deer velvet helps with anemia and osteoporosis.

*Source: Maeil Economy, June 26<sup>th</sup>, 2013<sup>3</sup>*

### **4.2 Hani University Professor Develops Functional Sulphur Smoked Duck**

Professor Deok-Gyun Ahn of Hani University conducted joint research with Konkuk University to develop a slice of duck meat that contains a deer velvet mixture concentrate. It is purported to help prevent Alzheimer's and improve the memory, thanks to its velvet ingredients and a special mixture of plants. Deer velvet improves blood producing functions and strengthens cardiovascular activity, increasing the absorption rate of nutrients. In particular, ganglioside helps to provide nutrients to the brain, aiding memory and study ability.

*Source: Hankook Ilbo, July 11<sup>th</sup> 2013<sup>4</sup>*

### **4.3 MP Seong-Ho Jeong, Push to Remove Deer Velvet from the Special Consumption Tax**

On July 18<sup>th</sup>, Member of Parliament (Democratic Party) Mr Seong-Ho Jeong motioned for a revision to the legislation that includes deer velvet as part of the individual consumption tax. The move from special consumption tax to individual consumption tax in 2008, was originally intended to control consumption of luxury items, but has since become a burden on average consumers. The individual consumption tax functions as a pressure to increase price, and leads to increased levels of smuggling and undocumented trading. The average tax attracted over the last 5 years (around USD 1.9 million) is similar to the value of smuggled velvet that has been picked up by the authorities over the same period. MP Jeong commented "Deer velvet is an ingredient in traditional Korean

<sup>3</sup> <http://news.mk.co.kr/newsRead.php?year=2013&no=504275>

<sup>4</sup> <http://sports.hankooki.com/lpage/life/201307/sp2013071115081795530.htm>

medicine and used by the public at large. It is not a luxury ingredient and is the only medical item that attracts this individual consumption tax.”

*Source: Joongang Ilbo, July 19<sup>th</sup> 2013<sup>5</sup>*

#### **4.4 KFDA Registers Patent for Distinguishing Velvet in China**

In April of this year, the KFDA registered a patent in China for its method of distinguishing between velvet and reindeer antlers. The method uses ‘polymerase chain reaction’ and requires only small amounts of material. It was established in order to prevent the mixing of reindeer antler that cannot be used in Korean traditional medicine, and is even able to detect deer antler mixed with velvet in powder form within 2 hours. This method includes white-tailed deer (prevalent in Alaska and Canada) in its ‘reindeer’ definition.

*Source: Consumer Times, August 9<sup>th</sup> 2013<sup>6</sup>*

#### **4.5 Public Sentiment Increases to Release Chairman Jeong, Deer farmers and Livestock Groups Band Together**

Deer farmers and livestock organisations are rallying for Chairman Jeong to be released from custody. Although the situation began as a personal issue, its impact may have significant effects on the industry as a whole. Chairman Jeong had played an important role in the velvet wholesale market. So far over 500 members of the livestock industry have signed the petition.

*Source: Deer Times, August 16<sup>th</sup>, 2013*

## **5 Other comments / meeting notes**

### **5.1 China invests in NZ processing operations**

2013-08-22:

Discussed trend of investment of Chinese processors in NZ.

- Officially deer velvet only able to be processed in tax-free zones in China
- However due to cost realities most related factories built in interior.
- To get product to these factories it meant they had to bribe officials
- Recently the costs of getting the product to the inland factories has increased significantly.

<sup>5</sup> [http://live.join.com/news/article/article.asp?total\\_id=12112353&ctg=1000&tm=n\\_pol](http://live.join.com/news/article/article.asp?total_id=12112353&ctg=1000&tm=n_pol)

<sup>6</sup> [http://www.consumertimes.kr/sub\\_read.html?uid=9100&section=sc56&section2=%EC%8B%9D%EC%95%BD%EC%B2%98](http://www.consumertimes.kr/sub_read.html?uid=9100&section=sc56&section2=%EC%8B%9D%EC%95%BD%EC%B2%98)

- Carol believes that even if factories set up in tax-free zone it ultimately has to be moved to the in-land factories
- Hence processing in NZ becomes a viable option